

STRICTLY PRIVATE & CONFIDENTIAL

30th August, 2016

To,
The Board of Directors,
Avantel Limited
Plot No. 47/P, Sy. No. 141,
APIIC Industrial Park, Gambheeram (V),
Anandpuram (M), Visakapatnam- 531163
Andhra Pradesh

Dear Sir(s),

This has reference to the request made by the management of Avantel Limited (hereinafter referred to as "Avantel"). The Board of Directors of Avantel, in their Board Meeting held on August 11, 2016, has considered and approved the proposal to amalgamate Wiki Kids Limited into Avantel and also constituted the "Amalgamation Committee". The Amalgamation Committee has appointed us on August 16, 2016 to issue Fairness Opinion Certificate in connection with the valuation exercise being carried out by M/s. Nekkanti Srinivasu & Co., Chartered Accountants (hereinafter referred to as "the Valuer") for recommending Equity Share Exchange Ratio for the Proposed Merger of Wiki Kids Limited (hereinafter referred to as "Wiki") with Avantel with effect from the Appointed Date i.e. April 01, 2016.

I. PURPOSE OF VALUATION

- 1.1 The Board of Directors of both the Companies have considered proposal for the Merger of Wiki with Avantel.
- 1.2 In this regard, M/s. Nekkanti Srinivasu & Co., Chartered Accountants were appointed to carry out the valuation with a view to recommend an exchange ratio of shares in the event of Merger of Wiki with Avantel and determination of Equity shares to be issued by Avantel to the Shareholders of Wiki.
- 1.3 The information contained herein and our certificate is confidential. It is intended only for the sole use of captioned purpose including for the purpose of obtaining requisite approvals as per SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

II. SOURCE OF INFORMATION

For the purpose of the valuation, we have relied upon the following source of information provided by the management of the Companies:

- (i) Background of Wiki and Avantel.

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- (ii) Memorandum and Articles of Association of Wiki and Avantel.
- (iii) The Projected Profitability Statements and Projected Balance Sheets for the Financial Years 2016-2017 to 2020-2021 of Wiki.
- (iv) Audited Financial Statements for last 3 years i.e. as on 31st March, 2016, 2015 and 2014 for Wiki and Avantel;
- (v) Other relevant details such as history of the Company, its promoters, shareholding pattern etc.
- (vi) Past & present activities, future plans & prospects, other relevant information of Wiki and Avantel
- (vii) India E-Learning Market Outlook to 2022 by RNCOS Industry Research Solutions, Noida

III. EXCLUSIONS AND LIMITATIONS

3.1 Conclusions reached by us are dependent on the information provided to us being complete & accurate in all material respects. Our scope of work does not enable us to accept responsibility for the accuracy and completeness of the information provided to us. The scope of our assignment did not involve us performing audit tests for the purpose of expressing an opinion on the fairness or accuracy of any financial or analytical information used during the course of our work. We have not performed any audit, review or examinations of any of the historical or prospective information used and, therefore, do not express any opinion with regard to the same. In addition, we do not take any responsibility for any changes in the information used for any reason, which may occur subsequent to the date of our certificate.

3.2 This certificate is prepared with a limited purpose/scope as identified/stated earlier and will be confidential being for use only to whom it is issued. It must not be copied, disclosed or circulated in any correspondence or discussions with any person, except to whom it is issued and to those who are involved in this transaction and for various approvals for this transaction.

IV. VALUATION METHODOLOGY ADOPTED BY THE VALUER

In arriving at the exchange ratio of the equity shares for the merger of the Wiki with Avantel we have determined the values independently but on a relative basis. We have considered the methods relevant and applicable, which included:

- 1) Market Approach:
 - a) Market Price Method

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- 2) **Income Approach:**
 a) Discounted Cash Flow
 1) **Market Approach:**

a) **Market Price Method:**

The valuation is done on the basis of share prices of a company quoted on the stock exchange as Quoted prices of the company on the stock exchange are considered to be indicative of the perception of investors operating under free market conditions and generally, common stocks are purchased in light of anticipated stock price appreciation, which, in turn, is strongly influenced by expectations about a company's cash flow capacity. In the present case the shares of Avantel are listed on BSE Limited and the trading transactions of the equity shares during last 6 months into the following 2 Alternatives has been considered under this method. The Fair value of Avantel is arrived based on the pricing formula prescribed under Chapter VII of SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009 which shall not be less than higher of the following:

Alternative 1: Average of weekly high & low of the volume weighted average price (VWAP) of the equity shares quoted on the BSE Limited during the last twenty six weeks.

Alternative 2: Average of weekly high & low of the volume weighted average price (VWAP) of the equity shares quoted on the BSE Limited during the last two weeks.

This method is not considered appropriate to value Wiki as it is an unlisted company.

2) **Income Approach:**

a) **Discounted Cash Flow Method:**

The discounted cash flow method has also been used to value the equity of the Wiki.

The DCF method expresses the present value of the business as a function of its future cash earnings capacity. This methodology works on the premise that the value of a business is measured in terms of future cash flow streams, discounted to the present time at an appropriate discount rate. The valuation under the DCF method depends upon the projections of the future cash flows and the selection of the appropriate discount factor. The DCF methodology is considered to be the most appropriate basis for determining the future earning capability of a business.

Calculation of value under the DCF method involves estimation of future cash flows for explicit period, estimation of continuation value and discounting of cash flows using appropriate discounting factor.

$$\text{Value of the Business} = \sum_{t=1}^{t=n} \frac{\text{Expected cash flow}}{(1+r)^t} + \frac{\text{Terminal value}}{(1+r)^n}$$



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ESTIMATION OF CONTINUATION VALUE

Under the going concern premise the cash flows are expected to be derived by the business entity beyond explicit period and will grow at constant rate forever. Based on the premise the terminal (continuation) value of the business can be estimated as

$$TV = \frac{FCFE_{t+1}}{(k_e - g)}$$

Where, $FCFE_{t+1}$ refers to free cash flow for the last year of the projected period.

k_e = cost of equity and g = expected growth rate

If the equity is being valued the terminal value of equity can be arrived by

$$\text{Terminal value} = \frac{\text{Cash flow to the Equity}_{t+1}}{k_e - g}$$

ESTIMATION OF DISCOUNTING RATE (k_e)

The cost of equity in turn is determined using the MCAPM model i.e. Modified Capital Asset Pricing Model. The formula for calculating cost of equity under this model is:

$$k_e = k_{rf} + \beta (k_m - k_{rf}) + a$$

Where

- k_e = expected rate of return on equity
- k_{rf} = risk free rate on bonds
- k_m = expected rate of return on the market
- $k_m - k_{rf}$ = equity risk premium
- β = coefficient of firms' systematic risk
- a = additional risk premium

Since DCF model is predominantly used to value the business, the same has been considered appropriate while arriving at the valuation of Wiki.

V. CONCLUSION

- 5.1. We have reviewed the methodology as mentioned above adopted by the Valuer for arriving at the fair valuation of the equity shares of Companies and also reviewed the working and underlining assumptions adopted to arrive at the values under each of the above approaches, for the purposes of recommending a ratio of entitlement / exchange.



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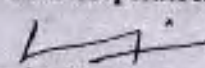
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5.2. On the basis of the foregoing points, we are of the opinion that the valuation made by M/s. Nekkanti Srinivasu & Co., Chartered Accountants is fair & reasonable for the proposed Share Exchange Ratio of 1 Equity share of Avantel Limited for every 2.89 Equity shares held in Wiki Kids Limited.

Thanking you,

For Mark Corporate Advisors Private Limited


Rajendra Kanoongo
Jt. Managing Director
Place: Mumbai

